

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

SENATE BILL 2185

By: Paxton of the Senate

and

Hilbert of the House

AS INTRODUCED

An Act relating to mutual insurance companies;
stating legislative findings; prohibiting
modification of certain corporate structure until
full payment of certain ownership interests; defining
terms; providing for codification; and declaring an
emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 331 of Title 85A, unless there
is created a duplication in numbering, reads as follows:

A. 1. The Legislature finds that it is a matter of public
interest that mutual insurance company policyholders are treated
fairly and equitably in any transition to a mutual insurance holding
company.

2. The Supreme Court has determined, and the Legislature
affirms, that all monies and other assets of mutual insurance
companies created by statute and started with funds appropriated by

1 the Legislature are held in trust for the benefit of the
2 policyholders. A mutual insurance company created by statute and
3 started with funds appropriated by the Legislature may never
4 transition into a stock insurance company.

5 B. A mutual insurance company created by statute and started
6 with funds appropriated by the Legislature shall not transition into
7 a mutual insurance holding company unless and until it pays all
8 policyholders from January 1, 2000, to the present their fair and
9 equitable ownership interest as owners and trustees of a mutual
10 insurance company. Each policyholder of a mutual insurance company
11 created by statute and started with funds appropriated by the
12 Legislature from January 1, 2000, to the present shall receive the
13 fair market value of their policy interest in a mutual insurance
14 company.

15 C. If a court of competent jurisdiction determines that a
16 company created by statute and started with funds appropriated by
17 the Legislature is in the process of demutualization, such company
18 shall be prohibited from pursuing any means to change its corporate
19 structure from the mutual insurance company previously authorized by
20 the Legislature, except for the change to a mutual insurance holding
21 company as authorized by this section.

22 D. For purposes of this act:

23 1. "Created by statute and started with funds appropriated by
24 the Legislature" means an entity that began with monies appropriated

1 by the Legislature and that was originated by statute of this body,
2 such as CompSource Mutual Insurance Company;

3 2. "Fair and equitable" means a distribution of assets that is
4 impartial, just, and honest, without bias, discrimination, or
5 improper advantage or self-dealing; and

6 3. "Fair market value" means the true economic worth of an
7 asset in an open and voluntary transaction, reflecting what a
8 reasonable person would pay under normal market conditions.

9 SECTION 2. It being immediately necessary for the preservation
10 of the public peace, health or safety, an emergency is hereby
11 declared to exist, by reason whereof this act shall take effect and
12 be in full force from and after its passage and approval.

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